

private arrangement with the debtor to the contrary, that he will not take advantage of his specific lien, but will bring it into the common stock and prove for his whole debt, and accept a dividend *pari passu* with the rest (*e*). “The moment,” observed Lord Lyndhurst, “a creditor releases his debt, which he does by executing a deed of * this kind, there is, of course, an end of any lien he [*522] may have for it” (*a*). But though the word “release” be used in the deed, it will not necessarily operate as an absolute and unconditional release, if the whole contents of the instrument, when taken together, show that such was not the intention (*b*).

9. **Trust for creditors who come in within certain time.**—It was held in *Dunch v. Kent* (*c*) that where there is a trust for payment of such creditors as shall *come in within a year*, a creditor who delays beyond the year is not therefore precluded from taking advantage of the trust; and in *Raworth v. Parker* (*d*), V. C. Wood, after observing that there was no *modern* authority in which relief had been given after the time fixed for the execution of the deed had expired, added, that if it were to be held that creditors are not admissible after the prescribed period, *Dunch v. Kent* must be overruled. And in a more recent case, where the trust was for the benefit of creditors who should execute or accede within three months, the Vice Chancellor held, and the decision was affirmed by the Lord Chancellor on appeal, that a creditor who had not acceded within the prescribed time might claim the benefit of the trust (*e*).

(*e*) *Cullingworth v. Lloyd*, 2 Beav. 385; *Buck v. Shippam*, 1 Ph. 604; 14 Sim. 239.

(*a*) *Buck v. Shippam*, 1 Ph. 697.

(*b*) *Squire v. Ford*, 9 Hare, 47.

(*c*) 1 Vern. 260.

(*d*) 2 K. & J. 170, 171; and see *Collins v. Reece*, 1 Coll. 675; *Jolly v. Wallis*, 3 Esp. 228; *Spottiswoode v. Stockdale*, G. Coop. 102; *Johnson v. Kershaw*, 1 De G. & Sm. 260.

(*e*) *Whitmore v. Turquand*, 1 J. & H. 444; 3 De G. F. & J. 107. V. C. Wood rested his judgment, not on

the authority of *Dunch v. Kent*, but upon general reasoning, and thought that the decision in that case might be accounted for on special grounds; but L. C. in affirming the judgment of the V. C. said that he considered the doctrine of the Court since *Dunch v. Kent*, to have been that a creditor might come in after the time prescribed, and that the time was not of the *essence* of the deed, and that, in his opinion, the view originally taken in *Raworth v. Parker*, by V. C. Wood of *Dunch v. Kent*, was the correct one.